

*The importance for an organisation's
performance of having a diverse workforce
(including diversity among senior executives).*

Kosnik, Michal- Student ID No: 38802139

Yihe, Tang - Student ID No: 38807157

Ching Lam, Yeung- Student No: 38814382

Asghar, Aaisha- Student ID No: 38864037

Jiawei, Liu - Student ID No: 38602288

Introduction

Diversity can be defined as including people from all demographics, whether it be based on age, ethnicity, gender, etc. Diversity in the workplace has been a topic of discussion for centuries, with its roots in the Suffragettes Movement, and the Civil Rights Movement. Minorities, people of colour, and women, have been historically prejudiced against in the workplace, however due to changes in equality laws over roughly the last century, this has changed drastically.

Nowadays diversity is a lot greater than it was before in many industries and roles, and it is an increasingly important factor for employers when considering who to employ, as we start to understand the importance of diversity. However, there is still a worrying lack of diversity in senior roles of big companies.

Diversity may be good for equality, but how does it affect the performance of a business? It may affect it positively, due to the collective mixture of employees' differences and similarities, which brings in the best of everyone's experiences, characteristics and beliefs.

(Katherine, 2016)

Diversity elevates a company's baseline and brings to unfettered discovery and breakthrough innovation. In "When people are brought together to solve problems in groups, they bring different information, opinions and perspectives." Showing how diversity can help a team at work, diversity of opinion brings more inspiration to the team. People think in different ways, men, women, people of different ages and upbringings will have various interpretations of the issue and diversity can give more comprehensive and deeper understanding. "They found that companies that prioritised innovation saw greater financial gains when women were part of the top leadership ranks." This evidence also demonstrates the benefits that diversity brings to companies and teams. One of the fundamental purposes of business existence is to reap benefits, and diverse teams can bring about fantastic chemistry. Overall, a rich team allows everyone to focus on their own direction, thus saving more time to achieve higher performance and making the organisation's operations more flexible and with greater potential for growth.

(Henry, 2020)

The industry is growing more varied than ever before as a result of the influence of the world economy, often known as "globalisation," which has transformed the globe into a global community. A diverse workplace does have a few elements, including cultural, geographical, cultural, regional, and organisational cultures. Without a doubt, globalisation is a changing issue that is connecting individuals, organisations, communities, counties, and governments in ways never before seen. Diversity refers to the variances that exist among personnel as a consequence of their diverse origins. Sexual identity, generation, region, colour, nationality, and natural capabilities are examples of such origins. Regardless of the drawbacks of variety, there are significant advantages that may make a multicultural workplace a worthwhile investment. It is this that keeps a varied labour market appealing in a globalised world. The advantages of teamwork include fast flexibility, the provision of a wider range of alternate problem-solving strategies, in-service purchasing, and the distribution of resources. Other advantages include a broader selection of services, a diversified set of skills or experiences, a large selection of languages and linguistic backgrounds, and a different set of opinions. The wide set of abilities, together with the range of alternate problem-solving strategies, contributes to production effectiveness and productivity. The goal of managing diversity is to "establish and sustain a good work environment that celebrates employees' commonalities and dissimilarities." It aims to get the data and abilities required to deal with these work situations in a productive and effective manner. As a result, managing diversity is vital to the success of firms that have a varied workforce.

(Asokan, 2016)

In 2016, the Financial Times published a report on how companies have attempted to diversify their workforce. This is a very data driven article which gives examples of specific organisations and their methods of increasing diversity within their employees, an example in the article is the diversity plan launched by Channel 4, the UK broadcaster, to allow them to increase numbers of ethnic minority employees and staff in leadership roles. The report provides research which compares the difference diversity in the workplace makes to an organisation, and concludes that

more diverse companies have higher financial returns than less diverse companies. A main theme of the article is diversity training within organisations, this allows employees to remove unconscious bias in the workplace and speak openly, which is reported to increase innovation. While the report does argue the importance of ethnic diversity, it only briefly mentions gender diversity and the effect that women in senior management roles may have on the performance of the organisation.

(Sikka, 2003)

Sikka Lieberman, George F. Simons, and Kate Berardo focused on the business case and top techniques for getting the best performance out of every type of person in their book published in 2003. This book equips you with practical knowledge and abilities for managing well in a varied company as businesses that wish to gain a competitive edge must harness the power of diversity to expand their customer base and gain market share to avoid loss of money, talent, and clients to rivals who appreciate and profit from diversity. It is written for those who oversee personnel and take good care of workplaces. Overall, this book is useful to the topic as it gives information about many different aspects of diversity in the workforce, such as cultures, backgrounds and ages. However, the main limitation of the book is that the book was published 19 years ago and things change fast in a fast-paced world, which reduces its reliability.

Robin J. Ely, David A. Thomas (2020)

This article from the Harvard Business Review Magazine (issue Nov-Dec 2020) agrees with the majority of other sources on this topic area, on the idea that the presence of women and people of colour is much needed in the workplace, and is in high demand. However, it also states the moral dilemma of whether this demand is pushed by merely good intentions of equality, or by “robust research findings”. The article claims that diversity for the sake of diversity is not effective in improving performance- what's more important is how the organisation “harnesses diversity”, and “whether it's willing to reshape its power structure”. This links to the point in question of diversity in senior roles, as the power structure is often imbalanced when it comes to diversity- this is a clear point made by many sources. Unlike other writers on the topic areas, the writers

pick out the difficulties with implementing diversity within an organisation. It may be simple and desirable to employ as many women and people of colour as possible, but the research this article shows, states that the effectiveness is negligent. This is until diversity is used to its fullest purpose, and all the employees' similarities and differences are taken into account, rather than being squashed for being too 'different'. This article is interesting because rather than simply siding with diversity, it invites both sides of the argument. No argument is ever black-and-white, and there are always many ways to look at such a topic. Inequality is bad, and diversity generally is good for an organisation, however the organisation must also build trust, as well as education to avoid discrimination, as this will quaint any effectiveness of diversity.

Conclusion

Diversity has a profound impact on a company. It allows employees to provide rich and varied information to their teams, expand the scope of their operations, effectively account for feedback from the market and increase the scale of production. It also provides better service to consumers and leads to better decisions. Diversity is also more inclusive, as different races, religions and genders can be well integrated, giving it greater access to resources, attracting women and minorities to expand the workforce and gaining a competitive advantage. When employees are in a culturally diverse work environment, they will learn to interact effectively with individuals who have different attitudes, values and beliefs. Employee diversity has significant implications for management practices. Managers need to change their business philosophy from treating employees as the same to recognising differences and responding to them in a way that ensures employee stability and increases productivity. At the same time, there should be no discrimination. If managed properly, diversity will increase the creativity and innovative spirit of the organisation and bring a qualitative leap forward to the business. This essay includes four types of sources: books and reports, journals, magazines and websites. Books are always thorough overview of a topic and the quality is higher than others as it is checked by the publisher, but not up-to-date is mainly one of its disadvantages while the other three sources keep the latest information. Moreover, journals cover very specific topics but are not as broad as books. For magazines, it has latest coverage of news and opinions and also provides

opportunities for communities to engage. Finally, websites are the fastest way to search information, but sometimes it is not reliable as an academic standard because everyone can create a website. Overall, different types of sources have their own advantages and disadvantages, which means we can use them for different demands.

Referencing List:

Asokan, S. (2016). *Minority report: companies wake up to the benefits of diversity*. *Financial Times*, 26 May 2016. Available at:

<https://www.ft.com/content/86f63a46-182a-11e6-b197-a4af20d5575e>

[Accessed 18 November 2022]

Henry, I. et al. (2020) *Managing Diversity for Organizational Efficiency*. Available at:

<https://journals.sagepub.com/doi/10.1177/2158244019900173> [Accessed 18 November 2022]

Katherine, W. (2014) *Being around people who are different from us makes us more creative, more diligent and harder-working*. Available at:

<https://www.scientificamerican.com/article/how-diversity-makes-us-smarter/> [Accessed 18 November 2022]

Simma, L. George F, S, Kate, B. (2003) *Putting Diversity to Work : How to Successful Lead a Diverse Workforce*. Available at:

<https://ebookcentral.proquest.com/lib/lancaster/reader.action?docID=3116981> [Accessed 18 November 2022]

Robin J. Ely, David A. Thomas (2020) *Getting serious about diversity: Enough Already with the Business Case*. Available at:

<https://hbr.org/2020/11/getting-serious-about-diversity-enough-already-with-the-business-case>

[Accessed 21 November 2022]

Meeting minutes

- 10/11/22 meeting in the library 18:00-18:40
 - All group members were present
 - Discussed group roles and our chosen topic
 - Organised our next meeting and individual research we had to do in preparation
- 14/11/22 meeting in the library 11:00-11:35
 - All group members were present
 - Discussed which source we were all going to use
 - Organised our next meeting and discussed referencing
- 21/11/22 meeting in the library 11:00-11:50
 - All group members were present
 - Discussed the order of our individual parts and the introduction and conclusion
- 22/11/22 teams meeting
 - All group members were present
 - Finished editing and submitted

Minutes taken by Aaisha Asghar